

IAASB Meeting Highlights and Decisions

September 2015

Contact: Kathleen Healy, IAASB Technical Director (KathleenHealy@iaasb.org)

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A [Podcast](#) recording giving a short audio summary of the main outcomes of the September 2015 IAASB meeting is also available on the IAASB website, as are the agenda materials that were considered by the IAASB.

For more detailed information about IAASB projects, please refer to the project summaries under [Current Projects](#).

Enhancing Audit Quality in the Public Interest

The IAASB considered the first draft of its planned Invitation to Comment (ITC) addressing key topics in its [Work Plan for 2015–2016](#) relevant to enhancing audit quality. The IAASB asked the Enhancements Working Group to revisit the structure and content of the “forepart” of the draft ITC, and consider whether a separate simplified document would better facilitate responses from investors and other users of audited financial statements, preparers, audit committees and others that have an interest in audit quality but may not be as familiar with more technical aspects of the International Standards on Auditing™ (ISAs™). The IAASB also noted that it will be important to communicate that the ITC is focused on how efforts in relation to the priority projects identified in the IAASB’s *Work Plan for 2015–2016* could enhance audit quality, and is not intended to be a more broad consultation on the IAASB’s activities. The IAASB intends to finalize the ITC for issuance after its December 2015 meeting.

Quality Control

The IAASB continued its discussion on the topic of quality control, including specific issues related to quality control throughout the firm and the network, transparency reporting and engagement quality control reviews (EQCRs). Specifically, the IAASB acknowledged the need to consider how to give further prominence to EQCRs in light of the benefits to audit quality, including strengthening requirements for engagement quality control reviewers and the selection of those reviewers, potentially expanding the scope of engagements subject to an EQCR beyond audits of financial statements of listed entities, and the possibility of the development of a separate EQCR standard. In considering the quality control sections of the draft ITC, the IAASB raised comments related to the definition and responsibilities of the engagement partner, in relation to who is the individual best placed to be responsible for audit quality, and also highlighted other areas where the issues could be described more clearly to ensure that stakeholders had the appropriate understanding in order to be able to respond effectively to the ITC.

Group Audits

The IAASB suggested revising certain material in the draft ITC to better articulate practical aspects of the issues that have been presented and possible actions that could address these challenges. In addition, the IAASB suggested that a revised draft of the ITC:

- Explore whether the current approach to group audits set out in the ISAs is still appropriate. It was suggested that consideration could be given to developing a broader, more flexible approach to a group audit to be able to adapt to evolving business structures, while retaining the robustness of the requirement for the group engagement partner to obtain sufficient appropriate audit evidence on which to base the group audit opinion.
- Make clear that all applicable ISAs need to be applied in a group audit, and that ISA 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)* provides additional considerations when applying the ISAs in a group audit situation.
- Further highlight issues related to investments accounted for under the equity method of accounting, in light of the feedback from the ISA Implementation Monitoring project about the practical challenges in this important area.

Professional Skepticism

The IAASB considered conceptual issues related to the topic of professional skepticism, including how the International Ethics Standard Board for Accountants® (IESBA®) and the International Accounting Education Standards Board's® (IAESB®) standards address professional skepticism and other related topics.

The IAASB continued to support the use of a joint working group comprised of representatives from the IAASB, the IESBA and the IAESB to explore what may be needed by the IAASB and others to enhance professional skepticism, as well as using the ITC as a preliminary means of soliciting feedback in this regard.

Financial Institutions, including Fair Value Accounting Estimates

The IAASB considered a proposal to make targeted amendments to ISA 540, *Auditing Accounting Estimates, Including Fair Value Accounting Estimates, and Related Disclosures*, in the near term to address potential audit implications of International Financial Reporting Standard (IFRS) 9, *Financial Instruments* for financial institutions. However, as highlighted by discussion with the IAASB's Consultative Advisory Group, the IAASB determined that most, if not all, of these issues would be equally relevant to audits of fair value accounting estimates more generally and for all entities to which IFRS 9 applies.

The IAASB therefore agreed that:

- It would be preferable to commence a more holistic revision of ISA 540 as a matter of priority and progress towards an exposure draft in 2016.
- Efforts will also be undertaken to develop and issue a publication in the near term to alert auditors and other interested parties to the IAASB's work in this area and its consideration of the relevant issues. This publication will also highlight how the extant ISAs and other material address the audit issues in relation to IFRS 9 for financial institutions, and signal the IAASB's plans with respect to the issues that are likely to be addressed in a revision of ISA 540.

- Supplemental activities that may be necessary to address specific considerations in the audit of financial institutions, beyond those that will be addressed in the revision of ISA 540, will be considered in the future in light of the prioritization of standard-setting activities. This may include an International Auditing Practice Note (IAPN) addressing the relationship between auditors and banking supervisors, or other specific guidance in relation to financial institutions or IFRS 9.

The IAASB will consider a standard-setting project proposal to revise ISA 540 at its December 2015 meeting. Outreach with banking and insurance supervisors and regulators and banking experts, in particular coordination with the Global Public Policy Committee of the six largest accounting firms, as well as the International Accounting Standards Board, will continue to be a fundamental aspect of the IAASB's work. This outreach will be in relation to financial institutions as well as other non-financial service sector stakeholders.

Auditor Reporting—ISA 800 (Revised) and ISA 805 (Revised)

The IAASB unanimously approved consequential amendments resulting from the [new and revised Auditor Reporting](#) standards to ISA 800 (Revised), *Special Considerations—Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks*, and ISA 805 (Revised), *Special Considerations—Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement*.

ISA 800 (Revised) and ISA 805 (Revised) will be published once the Public Interest Oversight Board has approved the due process followed in their development, and will be effective for audits of financial statements for periods ending on or after December 15, 2016.

Innovation

The IAASB received its annual update from the Innovation Working Group, which included a summary of the results of research into forward-looking areas where interest from national auditing standard setters and other stakeholders is growing. The IAASB also explored developments relating to the growing need for assurance services in the areas of governance, risk and compliance and the topic of cybersecurity.

Integrated Reporting

The IAASB received an update on recent developments related to integrated reporting, which included a summary of the International Integrated Reporting Council's recently issued feedback statement on its consultation on assurance on integrated reporting. The IAASB broadly supported the development of a discussion paper for issuance in 2016, exploring assurance-related issues.

Data Analytics

The IAASB explored examples of where practitioners are using audit data analytics and technology today, as well as audit data analytics techniques that may be used in the future to benefit to the effectiveness of audits of historical financial statements these techniques can provide. The IAASB was also asked to consider and provide further input into a number of challenges and questions that arise in considering the use of these techniques.

Next Meeting

The next physical IAASB meeting will be held in New York, United States, on December 7–11, 2015. The IAASB may also hold a teleconference on October 29, 2015.